

ing discipline created during the turnaround into disproportionate participation in the next generation of technology services growth,” says Arora.

At the same time, there is no denying that the uncertainty could impact business in some traditional service lines. Some discounting may also be required over the next few quarters to ensure that clients continue to invest. However, Soneja expects that to be offset by an increase in the volume of work in areas such as data analytics, cloud and consulting services. Over time, this will start to reflect in the pricing model. “The commercial model has moved away from needing more people to do more work to how a human agent and platform are working together to drive the right outcome. Customers are increasingly requesting for more outcome-based pricing,” he said.

The company is in the early stages of developing a more comprehensive, vector squad-based pricing strategy to reflect these changing conditions.

TALENT ADVANTAGE

46 | Another important aspect of the transformation has been the focus on talent infusion, especially at senior levels. “One of the essential tasks was that we preserve the important aspects of the Tech Mahindra culture while bringing in the new elements that were required,” says Chief People Officer Richard Lobo.

In the last two years, the company has brought in senior leaders across industry segments to strengthen its leadership, while also revamping training and skilling programmes for existing employees. Meanwhile, the attrition level was unchanged at 11.8% for the first quarter of FY27 —the same as at the end of FY24.

The next step was assessing whether the right people were engaged in the right roles, which included reassigning and reskilling internal talent, while also bringing in senior hires. “Today, we are at a stage where we have a reasonably well-placed leadership team with expertise across domains who have come from different industries,” he says. “We are looking seriously at who are the next mid-level people who could be considered for leadership roles in the future and how we can invest in them and help them grow,” says Lobo.

One part of this is a leadership training programme initiated in collaboration with INSEAD, France, for its senior leaders.

GROWING BEYOND

This leadership focus is important if the company is to maximise the opportunities from the AI wave. “Maintaining margin expansion while continuing to invest in talent, platforms and AI capabilities becomes more difficult as growth accelerates,” says Forrester’s Mahapatra. “Turnarounds frequently achieve early operational improvements, but sustaining outperformance requires consistently winning larger strategic engagements, deepening client relationships, and building differentiated capabilities rather than relying primarily on cost optimisation.”

Joshi is confident about meeting the targets they’ve set by the end of this fiscal. “The next thing will be a harder pivot for growth. It will be a focus on growth

through capability building, deeper infusion of talent, new client acquisitions, more effective cross-sell in our customer base, deepening presence in key markets and a more elevated brand.”

Meanwhile, the market is no longer sceptical about whether Tech Mahindra can achieve its FY27 targets but is now asking whether it can convert this momentum into sustainable revenue growth.

“Sustaining growth will require the company to demonstrate that recent wins translate into long-term managed services, modernisation programmes, and AI-led transformation engagements rather than short-term project revenue,” says Mahapatra.

While the gains made over the last two years will provide a solid foundation, the challenges are far from over. Continuing to grow from a larger base in a market facing pricing pressures, along with compression in traditional growth areas even as newer avenues open up, will require careful navigation.

Joshi seems unfazed. He doesn’t rule out acquisitions to gain capabilities, particularly in areas like healthcare, BFSI and manufacturing, now that the core business has stabilised. “What I’m most proud of is the team that we’ve created. I feel that we have now the most capable team in the entire industry, and people have come together with a common vision of what needs to be done,” he says.

This, coupled with the strategic shift that has happened in the last two years, is what he expects will help the company ride out the next few months and emerge stronger than ever. **BT**

ONE FUNDAMENTAL CHANGE BROUGHT ABOUT IN THE LAST TWO YEARS WAS THE SHIFT IN FOCUS TO ORGANIC GROWTH